FIELD GUIDE

Copilot agent billing, in plain language

Who pays when someone builds an agent? Where does the charge land? Why did an intern's side project show up on the Azure bill? This guide answers those questions for Agent Builder, Copilot Studio, Cowork, and Foundry, and shows you how to structure Azure so the cost lands in the right cost center.

Reviewed against Microsoft documentation

v1.2 · current as of July 31, 2026

Built for IT, finance, and platform owners

READ THIS FIRST

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Microsoft changes Copilot pricing, rate cards, and admin surfaces frequently, and several areas are genuinely ambiguous in Microsoft's own documentation. Where that is true, this guide says so explicitly rather than guessing. Confirm anything you are about to spend money on. Sources are in section 14.

Short on time? Read to your role.

Executive: sections 01 and 13. Five minutes. · **Finance / FinOps:** 01, 06, 07, 09. · **IT and platform owners:** all of it, but 05 and 12 are the working sections. · **Just need the plan?** Jump to the rollout checklist.

SECTION 01

The 60-second answer

If you read nothing else, read this. Seven facts explain almost every surprise charge.

1. **Building an agent is free. Running it is what costs.** Nobody is charged for creating an agent. Charges come from interactions, and only some interactions are charged.
2. **A paid Microsoft 365 Copilot license is the single biggest factor, but it is not a simple on/off switch.** It zero-rates ordinary, interactive, employee-facing agent use. It does not cover autonomous runs, computer-use agents, bring-your-own models, or external hosting. And an unlicensed user is not automatically charged either: an agent grounded only in instructions or public web costs nothing. What meters is a *combination* of who is using it, what the agent reaches into, how it was triggered, and which surface it runs on.
3. **Nobody is billed personally.** Consumption never attaches to a person's account. Where it lands depends on how you funded it, and there is more than one funding path. The common one is an Azure subscription and resource group named in a billing policy, but prepaid capacity packs with a credit policy need no Azure subscription at all.
4. **The currency is Copilot Credits.** Pay-as-you-go is about US$0.01 per credit. Different actions cost different numbers of credits, and one user question can trigger several charges at once.
5. **Each surface bills in a different admin center.** Agent Builder and Copilot Chat in the Microsoft 365 admin center. Copilot Studio in the Power Platform admin center. Cowork in the Microsoft 365 admin center under Copilot > Cost Management. Foundry directly in Azure, on Azure meters rather than Copilot Credits.
6. **The two policy types scope differently, and this trips people up.** A Microsoft 365 billing policy is scoped to *users or a group*. A Power Platform billing plan is scoped to *environments*. That makes the environment your Copilot Studio reporting dimension, so design environments and your cost model together.
7. **Most budgets do not stop anything.** Azure budgets and Microsoft 365 billing-policy budgets are alerts. The controls that genuinely halt usage are per-agent credit limits in the Power Platform admin center and spending limits in Cowork Cost Management.

THE ECONOMIC SHAPE, IN ONE PARAGRAPH

A paid Microsoft 365 Copilot seat zero-rates ordinary, interactive, employee-facing agent use. You already paid for that when you bought the seat. Metering starts at the **edges**: unlicensed users reaching into organizational data, autonomous or scheduled runs, computer-use agents, and bring-your-own models. That is the difference between **per-seat inclusion and per-interaction consumption**. On a purely consumption-priced platform every interaction is a charge. Here the everyday majority is already covered, and the work is keeping usage inside that zero-rated core while putting deliberate controls on the metered edges. This guide shows you where that line falls.

THE QUESTION EVERYONE ACTUALLY ASKS

"If I build an agent and share it with another team, who gets the bill?"

Neither of you, personally. The *builder* has no billing relevance at all. The charge, where there is one, lands wherever the applicable funding path points, and that is something an admin configured on purpose.

If you need the consuming team to carry the cost, you have to engineer it: scope a Microsoft 365 billing policy to their security group and point it at their resource group, or place the Copilot Studio agent in an environment whose billing plan points at their resource group. That works, but there are real constraints, including one that makes it look impossible at first. See section 05 for the rules and section 06 for where cost lands.

Worked example: the intern's agent

An intern on included Copilot Chat, with no add-on license, builds an agent and shares it with three people on another team.

- **Building it charged nothing.** Authoring is not a billable event.
- **If that agent uses only instructions or public web,** nobody is charged, licensed or not.
- **If it reaches into organizational data,** a colleague holding a Microsoft 365 Copilot license who runs it for ordinary work generates no core charge.
- **The same agent, run by an unlicensed teammate,** meters. The charge lands in the Azure subscription and resource group your billing policy names, not the intern's account and not the builder's.

→ **If no billing is configured at all,** that unlicensed teammate simply cannot use the organizational-data parts of the agent.

Want the consuming team to carry that cost? Point a billing policy at their resource group deliberately. That is the whole model in one story.

SECTION 02

The licenses that decide cost

Get the naming right, because the wrong words lead to the wrong budget.

NAMING CORRECTION WORTH MAKING EARLY

There is no product called "Microsoft 365 Copilot Premium" and no product called "Copilot Basic." Those are labels the apps show users, not things you can buy. Asking a reseller for "Copilot Premium licenses" will cause confusion. The two things that exist commercially are **Microsoft 365 Copilot Chat** (included) and the **Microsoft 365 Copilot** add-on license (paid). Microsoft 365 Copilot Business is a separate current offering for smaller organizations.

WHAT PEOPLE SAY	WHAT IT ACTUALLY IS	WHAT IT COSTS YOU IN AGENT CONSUMPTION
"Basic"	**Microsoft 365 Copilot Chat**. Included with eligible Microsoft 365 subscriptions including E3 and E5. No add-on purchase. Admins can still restrict access.	Chat itself is free. Agent use that reaches into your organization's data is **metered**, and only works if you have enabled billing.
"Premium"	The **Microsoft 365 Copilot** add-on license, purchased per user per month.	Ordinary interactive work-facing agent use is **zero-rated**. Real exceptions exist and are listed below.

The zero-rating rule, stated precisely

"A paid seat means agents are free" is the right instinct and the wrong sentence. Microsoft zero-rates core Copilot Studio consumption only when **all four** of these are true at once:

1. Employee-facing

The scenario is business-to-employee, not customer-facing or public.

2. Licensed user

The person interacting holds a Microsoft 365 Copilot license.

3. Runs as that user

The agent acts under that authenticated user's identity.

4. Within fair use

Usage stays inside Microsoft's fair-use limits.

Where a paid license does *not* save you money

SCENARIO	BILLING TREATMENT
Agent flow triggered by "When an agent calls the flow" for a licensed user	No charge
Agent flow on any other trigger, including a schedule	Metered

SCENARIO	BILLING TREATMENT
Autonomous or event-triggered agent work	Metered There is usually no interacting licensed user to inherit the inclusion from, and trigger payloads are billable.
Computer-using agents (agents that drive a UI)	Metered Explicitly excluded from the Microsoft 365 Copilot license terms. 5 credits per step, 15 for premium models.
Bring-your-own model or Microsoft Foundry model processing	Metered Billed separately by token usage in Azure.
Custom-engine agents using App Service, Bot Service, storage, external APIs	Metered Those Azure services bill normally regardless of Copilot licensing.
Customer-facing or unlicensed-user scenarios	Metered Standard credit consumption.
Cowork	Metered Requires a Microsoft 365 Copilot license *and* usage-based billing. The license is the entry ticket, not an all-inclusive pass.

DOCUMENTED AMBIGUITY: AI BUILDER TOOLS

The Copilot Studio rate card marks qualifying licensed employee-facing AI tool use as "No charge." AI Builder's own documentation says AI Builder tools inside Copilot Studio agents and agent flows "always consume Copilot Credits." Microsoft does not reconcile these statements. Do not promise anyone that AI Builder prompts are free for licensed users without written confirmation for your tenant.

SECTION 03

Free vs. metered

The single most useful thing in this guide: work out whether a specific agent will cost you anything, before you build it.

Will this agent cost me anything?

Pick one from each row

1. WHO IS USING THE AGENT

2. WHERE THE AGENT WAS BUILT

3. WHO TALKS TO IT

4. WHAT IT REACHES INTO

This tool is interactive in the web version. The single result printed below is one example only, not a general answer. Open the live guide to test your own combination, or use the boundary table in this section, which covers the same rules in full.

No extra cost

No extra cost for ordinary interactive use

WHY

Classic answers, generative answers, agent actions, and tenant Graph grounding are zero-rated for a Microsoft 365 Copilot licensed user, provided the agent runs under that authenticated user's identity, the scenario is employee-facing, and usage stays within fair use.

BILLING CONFIGURED IN

Microsoft 365 admin center > Copilot > Billing & usage > Billing policies

SCOPED BY

Scoped to **All users or one specified group**. Must be connected to the service under Pay-as-you-go services, or it does nothing.

SPEND CONTROL

The policy budget alerts only. It does not stop spend.

WATCH OUT

This covers the core Copilot Studio meters only. It is not a guarantee that every feature on every surface is free for a licensed user.

DOCUMENTED CONFLICT: SHAREPOINT AND ONEDRIVE IN AGENT BUILDER

Microsoft's broad Copilot Chat and extensibility pages say pay-as-you-go enables agents grounded in shared tenant data such as SharePoint. But the detailed declarative-agent knowledge-source page says Agent Builder SharePoint and OneDrive knowledge *requires* a Microsoft 365 Copilot license, and that unlicensed users get "Sorry, I wasn't able to respond." Separately, SharePoint-native agents *are* clearly pay-as-you-go capable for unlicensed users. Test your exact combination of agent type and knowledge source in your own tenant before you promise the business a number.

The boundary in table form

For a user on included Copilot Chat with no add-on license:

WHAT THE AGENT USES	TREATMENT	NOTES
Normal web-grounded chat	Included	No meter at all.
A file the user uploads into a single prompt	Included	Different from a persistent agent knowledge source.
Agent with instructions only	Included	No extra charge.
Agent grounded in public or scoped web data	Included	No extra charge.
Copilot connector knowledge	Needs billing	Requires pay-as-you-go or prepaid credit capacity, or a license.
Embedded file content as an Agent Builder knowledge source	Needs billing	Requires metered usage or a license.
Dataverse knowledge, where supported	Needs billing	Requires metered usage or a license.
SharePoint or OneDrive in Agent Builder	Verify in tenant	Microsoft documentation conflicts. See the callout above.

WHAT THE AGENT USES	TREATMENT	NOTES
Email, People, Teams messages, Teams meetings knowledge	License only	Pay-as-you-go is **not** documented as sufficient. Buying credits will not unlock this.

THE ONE PEOPLE MISS

That last row is the trap. Teams, Outlook, and People data in an agent is a *licensing* boundary, not a spending one. You cannot buy your way past it with credits. If a Copilot Chat user needs an agent over mailbox or Teams content, they need the add-on license.

SECTION 04

Copilot Credits and what they cost

One currency across Copilot Chat agents, Copilot Studio, and Cowork.

THE UNIT

Copilot Credit

Replaced "messages" as the common currency on September 1, 2025. Pack quantities and the pay-as-you-go rate did not change.

PAY-AS-YOU-GO RATE

$0.01

Per credit, US public list. This is the reference rate, not the effective rate for prepaid or committed purchases.

DO THEY ROLL OVER?

No

Unused monthly prepaid capacity does not carry into the next month.

CREDITS ARE NOT TOKENS

These get used interchangeably in conversation and they are not the same thing. A **credit** is Microsoft's billing unit for Copilot agent activity. A **token** is a unit of model text, and it still shows up as the basis of calculation for two specific things: AI tools inside Copilot Studio, and any bring-your-own or Foundry model processing. So tokens have not gone away, they just are not the thing on your Copilot invoice.

Also worth knowing: the word "messages" has not been fully retired. Some Microsoft meter pages still say "$0.01 per message" while the detailed Copilot Studio rate card uses feature-level credits. These pages have different scopes and Microsoft does not reconcile them. Neither this guide nor either page is invoice-authoritative: identify which product and service path you are actually on, use that meter, and confirm against your contract, price sheet, or actual Azure cost records before treating any figure as final.

The rate card

Rates are per action. A single user question can trigger several of these at once.

If you screenshot one thing from this guide, it will be this table, so read this line too: these are public US list reference rates from Microsoft documentation as of July 31, 2026. Not a quote, not contract pricing, and your negotiated rates will differ. Confirm against the live rate card before committing budget.

ACTION	CREDITS	AT $0.01/CREDIT	LICENSED USER, INTERACTIVE, WORK-FACING
Classic answer	1	$0.01	No charge
Generative answer	2	$0.02	No charge

ACTION	CREDITS	AT $0.01/CREDIT	LICENSED USER, INTERACTIVE, WORK-FACING
Agent action (see note below)	5	$0.05	No charge
Tenant Graph grounding with semantic search	10	$0.10	No charge
Generative answer plus tenant Graph grounding	*12*	*$0.12*	*10 + 2 combined*
Agent flow actions	13 / 100	$0.13 / 100	No charge only when triggered by "When an agent calls the flow"
AI tool, basic	0.1 / 1K tokens	$0.001 / 1K	See ambiguity note
AI tool, standard	1.5 / 1K tokens	$0.015 / 1K	See ambiguity note
AI tool, premium	10 / 1K tokens	$0.10 / 1K	See ambiguity note
Content processing	8 / page or image	$0.08	See ambiguity note
Computer use, standard model	5 / step	$0.05	Metered Excluded from license terms
Computer use, premium model	15 / step	$0.15	Metered Excluded from license terms
Classic voice	10 / minute	$0.10	Not marked included
Generative voice	35 / minute	$0.35	Not marked included

ACTION	CREDITS	AT $0.01/CREDIT	LICENSED USER, INTERACTIVE, WORK-FACING
Premium generative voice	75 / minute	$0.75	Not marked included

– Two rate-card details worth knowing before you estimate

Reasoning models cost more than the base rate suggests. A reasoning-capable model adds the applicable feature rate *plus* premium AI tool usage at 10 credits per 1,000 tokens. That can dominate the bill on a chatty agent.

There is no published per-connector rate, and "agent action" is narrower than it sounds. People ask "what does a ServiceNow call cost?" and there is no single answer. Microsoft defines an agent action as specific things such as triggers, deep reasoning, and topic transitions. It is *not* a universal "any tool or connector call costs 5 credits" rate. A connector scenario may bill as tenant Graph grounding, as an agent action, as an agent flow, or as a separately billed external service, depending on how it is wired. Model it in the official estimator rather than reasoning from a single rate.

Tenant Graph grounding is a specific feature, not "any use of your data." The 10-credit meter is optional Tenant Graph grounding with semantic search. An agent can reach organizational content through other paths that do not hit that particular meter. Do not assume every answer touching internal data costs 10 credits.

There is no standalone "autonomous action" rate. Microsoft has not published one. Event-trigger payloads are billable messages, and the actions and flows an autonomous agent performs bill on their normal meters. Budget autonomous work as metered, but do not quote an invented per-run rate.

SECTION 05

Four surfaces, four billing homes

Four surfaces people actually build on, and where each one is funded. These are the four you will meet most often, not an exhaustive list of every Microsoft billing surface.

ONE CLARIFICATION BEFORE THE TABLE

Three of these four meter in **Copilot Credits**: Agent Builder and Copilot Chat, Copilot Studio, and Cowork. **Foundry does not.** Foundry bills on ordinary Azure meters. It is in this table because people build agents there and have to budget for it, not because it shares the credit currency.

Microsoft documents other usage-billed surfaces too, including the Work IQ API and the Copilot Retrieval API. If you are building on something not listed here, check its own billing documentation rather than assuming it follows one of these four.

SURFACE	WHO BUILDS HERE	WHERE YOU CONFIGURE BILLING	WHAT IT IS SCOPED TO
Agent Builder and Copilot Chat agents	Business users, inside the Copilot app	Microsoft 365 admin center `Copilot > Billing & usage > Billing policies`	**Users** — all users, or one specified group
Copilot Studio	Power users, IT makers	Power Platform admin center pay-as-you-go billing plan	**Environments** — not user groups
Cowork	End users, agentic multi-step work	Microsoft 365 admin center `Copilot > Cost Management`	**Tenant or Entra security groups**, with optional per-user limits
Microsoft Foundry	Developers, code-first	Azure, directly	**Azure resources** — normal Azure billing

THE SCOPING DIFFERENCE THAT CAUSES CHARGEBACK FAILURES

A Microsoft 365 billing policy is scoped to **people**. A Power Platform billing plan is scoped to **environments**. That is not a trivial difference. It means you cannot split Copilot Studio consumption by security group. If you want departmental reporting for Copilot Studio, you need departmental *environments*, and you point each environment's billing plan at that department's resource group. Design your environment strategy and your cost model at the same time, or you will redo one of them.

Be precise about what that gets you. An environment is the attachment scope for a billing plan and a genuinely useful showback dimension. It is not an invoice or payer boundary, and it does not by itself produce finance-grade chargeback. Actual chargeback still needs eligible Cost Management allocation and your own internal finance process. See section 06.

THE GOTCHA THAT MAKES IT LOOK LIKE ONLY ONE POLICY IS ALLOWED

Plenty of admins try to add a second billing policy to Copilot Chat, find they cannot, and conclude the platform allows only one policy per service. That is usually not the constraint they hit.

Microsoft's rule is: **"Before you connect to a user-specific billing policy, disconnect any existing 'all users' billing policy."** An All-users policy is greedy. While it is connected, it covers everyone, and group-scoped policies have nothing left to scope. Disconnect it first, then connect your group-scoped policies.

The same page also says admins "can connect or disconnect a billing policy one at a time." That describes the *operation* being sequential, not a limit of one policy per service. Connect them one after another.

The rules for splitting cost by group

If you want Department A's metered Copilot Chat usage to land in Department A's Azure resource group and Department B's in theirs, that is the documented intent. These are the constraints that decide whether it will actually work for you.

RULE	WHAT IT MEANS FOR YOUR DESIGN
Disconnect any All-users policy first	This is the blocker most people hit. An All-users policy must come off before user-specific policies go on.

RULE	WHAT IT MEANS FOR YOUR DESIGN
One security group per policy	You cannot put two groups on one policy. Microsoft notes multi-group support is planned but not yet available. One department per policy, one group per department.
Keep the groups disjoint	If a user falls under more than one policy, the Credits report attributes their usage to the *oldest configured* policy. Microsoft does not publish an invoice-level rule for overlap, so overlapping groups will quietly distort your chargeback.
Subscription and resource group are immutable	"You can't edit a subscription or resource group associated with a billing policy." Getting the Azure destination wrong means deleting and recreating the policy. Decide the resource group layout before you create anything.
Policy count limits differ by page	The general setup page says up to 50 billing policies per tenant. The SharePoint agents page says up to 10, one security group each. Microsoft does not reconcile these. Plan against 10 unless you have confirmed otherwise for your service.
Connecting a policy grants access	Connecting is not only a billing act. It "grants access to the Copilot service to all users covered by the billing policy," and disconnecting removes that access. Your cost model and your access model are the same lever here.
Validate before you promise it	Microsoft never publishes an explicit sentence guaranteeing that Group A's usage posts to Resource Group A. The model implies it and the SharePoint page states the intent, but confirm it in Azure Cost Management with real usage before you commit a chargeback design to finance.

WHAT GROUP SCOPING CANNOT DO

Scoping is by **user and group only**. There is no documented way to say "Agent A charges resource group A and Agent B charges resource group B" for the same user. If your allocation requirement is per-agent rather than per-person, group-scoped policies will not deliver it. Use the Credits report, which breaks usage down by user, agent, billing policy, and user-agent pair, and do the allocation in your own finance process or with Azure Cost Management allocation rules.

How the four policy models compare

This is where most of the confusion comes from. These are four genuinely different objects with different rules, and people assume what they learned on one applies to the others.

POLICY TYPE	HOW MANY	GROUPS PER POLICY	SPLITS AZURE COST BY GROUP?
M365 pay-as-you-go billing policy Copilot Chat, SharePoint agents	Up to 50 per tenant (SharePoint page says 10)	One, or All users	**Yes**, with disjoint groups and no All-users policy connected
Copilot credit policy Prepaid capacity packs, Copilot Chat only	Up to 10 per tenant	Security groups, distribution groups, or whole tenant	**No Azure cost involved.** Allocates prepaid capacity to teams. Needs no Azure subscription. Overlap resolves to the most specific policy.
Cowork spending policy Copilot > Cost Management	Any number	**Multiple** groups per policy	**Yes, and this is the most capable model.** Microsoft says it "enables you to do departmental billing and vary billing methods for each group, department, or set of users."

POLICY TYPE	HOW MANY	GROUPS PER POLICY	SPLITS AZURE COST BY GROUP?
Power Platform billing plan Copilot Studio	Multiple plans	Scoped to environments, not groups	**Yes, by environment.** But an environment can only be linked to one billing plan at a time.

− Cowork spending policies in more detail, because they behave differently

If you have wrestled with the Copilot Chat billing policy model, Cowork will feel like a different product, because it is a newer and more flexible design.

You can create any number of policies. A policy can target multiple groups. Users are allowed to belong to more than one policy, and Microsoft publishes the precedence: highest per-user limit wins, then largest overall policy limit, then most recently created. The chosen policy applies in full and settings are not combined.

Global and Billing administrators can override the billing method per policy, which is what makes genuine departmental billing possible here. Under pay-as-you-go you can set the billing region and resource group in *Advanced billing settings*.

Billing draws in a documented order: capacity packs first, then P3 prepaid credits, then pay-as-you-go.

Two traps. First, **the billing method is immutable once the policy is created**; to change it you must delete the policy and create a new one. Second, if a user moves between Entra groups mid-month, the new group's policy takes effect and their per-user usage view resets, though total consumption is still tracked and billed at the policy level.

Notes on each surface

– Agent Builder and Copilot Chat

Setup lives in the Microsoft 365 admin center under `Copilot > Billing & usage > Billing policies > Add a billing policy`. Pay-as-you-go requires an Azure subscription and resource group **in the same tenant**; both can be created during setup.

Creating the policy is not enough. You must then connect it under *Pay-as-you-go services* to Microsoft 365 Copilot Chat or to SharePoint agents. A policy that exists but is not connected does nothing. When you disconnect it, covered users lose metered agent access after a propagation delay of up to about two hours.

Scope options in the interface are *All users* or *Specific group*. There is no arbitrary individual-user picker, so if you want to pilot with three people, put those three people in a group.

Permissions to set this up: Billing Administrator, AI Administrator, or Global Administrator on the Microsoft 365 side, plus Owner or Contributor on both the Azure subscription and the resource group. In many organizations those are two different teams, so line them up before you start.

Pay-as-you-go is not the only route. A prepaid Microsoft 365 Copilot Studio capacity pack combined with a Copilot credit policy can enable metered Copilot Chat access without an Azure pay-as-you-go subscription at all. Note that standalone credit policies are currently documented for **Copilot Chat only**; SharePoint agents should continue to use pay-as-you-go.

Microsoft also documents a Power Platform admin center route for setting up Microsoft 365 Copilot Chat billing, and says the two routes can coexist without double billing. The Microsoft 365 admin center is the primary path, but do not be surprised to find a plan configured on the Power Platform side.

You can have more than one policy on the same service, and this is how departmental billing is meant to work. Microsoft states the objectives of a billing policy include "to allocate billing responsibilities across departments." The SharePoint agents documentation is the most explicit: "You can assign one policy per security group and monitor cost for each group separately," and the in-product migration notice says the newer policy model lets you "divide charges across multiple Azure subscriptions." See the rules and the one big gotcha below.

Verifying it works. Microsoft publishes a specific test: have an eligible user run the Learning Coach, Writing Coach, or Career Coach agent and submit a simple prompt such as "What can you do?" That consumes roughly 12 credits. Then confirm it appears in the Copilot Credits report.

– Copilot Studio

Configured in the Power Platform admin center. The billing plan links an Azure subscription and resource group, creates a **Power Platform account resource** in that resource group, and then attaches one or more environments to the plan. Meters bill against that account resource, and because it is a real Azure resource, you can tag it like any other.

An environment can be configured to draw down tenant prepaid capacity, to bill overage to its linked pay-as-you-go plan, or both.

This is also where the genuinely enforceable controls live: per-agent monthly credit limits with a hard stop that switches the agent off when it hits its ceiling.

– Cowork

Microsoft 365 Copilot Cowork is an agentic system inside Microsoft 365 Copilot that performs multi-step work: drafting and sending mail, scheduling, creating files, posting to Teams, research, scheduled tasks. It is generally available. Not every capability inside it is, though: Claude Fable 5 is documented as Preview, and local browser use has its own prerequisites including Cowork on the web, Microsoft Edge, and tenant enablement. Check current release notes for capability-level status rather than assuming the whole surface moves together.

Correction worth noting: Cowork does not have a separate standalone billing portal. It is managed in the Microsoft 365 admin center under `Copilot > Cost Management`. It supports existing prepaid capacity, the Copilot Credit Pre-Purchase Plan, and Azure-backed pay-as-you-go. A resource group is only selected under *Advanced billing settings* for the pay-as-you-go method.

Cowork requires an active Microsoft 365 Copilot license *and* enabled usage-based billing. The license alone does not make Cowork free. Model responses, tool and skill calls, image generation, and browser tasks all consume credits.

Because capacity packs can be consumed across Microsoft 365 and Power Platform experiences, do not assume Cowork spend is financially isolated from your other Copilot spend just because it has its own admin page.

Admin controls here are unusually good: policies scoped to tenant or Entra security groups, monthly policy limits, optional per-user credit limits, alerts, **enforceable limits**, per-policy billing method, and consumption views by user, group, service, and agent. Discoverability is controlled separately from access.

One nuance on those limits. They gate *subsequent* access once crossed; they do not interrupt a task already in flight. Microsoft documents that a running task can complete, that the excess may go unbilled at Microsoft's discretion, and that it may not appear in Cost Management consumption views. Treat the limit as a gate on new work, not a transactional kill switch.

− Microsoft Foundry

The current brand is **Microsoft Foundry**, replacing Azure AI Foundry and Azure AI Studio naming.

Foundry does not use Copilot Credits. It bills like Azure: per token for serverless model calls, plus tools, storage, search, safety services, and hosting. Depending on the service, model, and deployment type it can also support commitment tiers, provisioned throughput billed per PTU-hour, and Azure Reservations, so "pure consumption" is an oversimplification. Those options are not universal: reservations do not apply to standard deployments or fine-tuning, and serverless or standard deployments stay token or service metered. Confirm what applies to your specific deployment.

No Microsoft documentation grants a Microsoft 365 Copilot license any included Foundry allowance. Budget Foundry separately. In bring-your-own-model scenarios both meters can apply at once: Copilot Studio meters the agent interaction, Foundry meters the model processing.

Foundry has **no native hard budget cap**. Budgets alert; stopping spend requires custom automation.

Does agent identity change any of this?

This comes up in almost every one of these conversations: an agent can be given a **Microsoft Entra Agent ID**, so does that become the thing you bill against? Short answer, no.

An Entra Agent ID is a specialized Entra *service principal*, not simply a user account. It can carry a sponsor accountable for lifecycle and access, and it enables identity and authentication, API permission visibility, audit and sign-in logs, lifecycle governance, access packages, and Conditional Access. Copilot Studio creates one automatically for new agents; check current release notes for the exact status, because Microsoft's documentation labels this inconsistently between Preview and generally available.

What it is not: a billing meter or a chargeback mechanism. Microsoft documents agent identity separately from service consumption billing. Billing still follows the applicable Copilot or Copilot Studio service and its billing configuration, exactly as described in this guide. Assigning an Agent ID does not move, split, or re-attribute a charge.

Two things people over-claim here, worth being careful about: **DLP is not automatically applied** just because an agent has an Agent ID (Copilot Studio connector calls remain subject to Power Platform connector policies and DLP runtime validation), and Microsoft Defender's AI agent detection and investigation is documented as **public preview**.

Microsoft Agent 365 is the broader control plane above this for observing, governing, and securing agents. It is separately licensed rather than included, so treat it as its own line item. There is no documented native capability that automatically attributes agent runtime spend to an owner or business unit through agent identity. Sponsors and owners establish accountability, not cost allocation.

SECTION 06

Where the money lands

The Azure subscription and resource group question, answered properly.

STEP 1

A user interacts

Their license decides whether this meters at all.

STEP 2

The meter fires

Credits accrue per the rate card, per action.

STEP 3

A funding path catches it

M365 policy by user/group, PPAC plan by environment, credit policy, or Cowork spending policy.

STEP 4

It lands where that path points

Usually an Azure subscription and resource group. Prepaid capacity draws down instead.

STEP 5

Finance allocates

Tags, cost analysis, and allocation rules do the chargeback.

ANSWERING "WHO GETS THE COST, THE BUILDER OR THE USER?"

Neither, directly. Cost never attaches to a person's account. It attaches to whichever funding path covers the interaction.

The **builder** has no billing relevance whatsoever. Building an agent costs nothing; running it costs something.

The **user** matters, but not as a simple switch. Their license is one condition among several. A licensed user running someone else's agent for ordinary interactive work generates no core charge. An unlicensed user running the same agent against organizational data does generate charges. But an unlicensed user running an instructions-only or public-web agent generates nothing either, and a licensed user still generates charges for autonomous runs, computer use, and bring-your-own models.

So if you want the consuming department to carry the cost, you must engineer it: either scope a Microsoft 365 billing policy to that department's security group and point it at their resource group, or place the Copilot Studio agent in that department's environment with a billing plan pointed at their resource group. Both work, but read the constraints in section 05 first, particularly the requirement to disconnect any All-users policy and to keep department groups disjoint.

Where it lands, by funding path

"It goes to the Azure subscription" is true often enough to be a useful default and wrong often enough to matter. Check which path you are actually on.

FUNDING PATH	NEEDS AN AZURE SUBSCRIPTION?	WHERE THE COST LANDS
Microsoft 365 Copilot pay-as-you-go billing policy	Yes, same tenant	The named subscription and resource group. Filter Azure on the `m365copilotchat` tag.
Power Platform pay-as-you-go billing plan	Yes	A Power Platform account resource created in the named resource group. Taggable like any Azure resource.

FUNDING PATH	NEEDS AN AZURE SUBSCRIPTION?	WHERE THE COST LANDS
Prepaid capacity pack plus Copilot credit policy	**No**	Draws down purchased monthly capacity. No Azure meter involved. Currently documented for Copilot Chat only.
Copilot Credit Pre-Purchase Plan (P3)	Yes, it layers on pay-as-you-go	Prepaid benefit applied against Azure-backed consumption, not a separate landing place.
Cowork spending policy	Only for the pay-as-you-go method	Per policy, scoped to tenant or Entra group. Resource group is selected under advanced billing settings.
Microsoft Foundry	Yes	The Azure resources themselves, on Azure meters. Not Copilot Credits, not an M365 billing policy.

What a resource group actually is, and is not

This is where a lot of well-intentioned cost models go wrong.

A resource group IS

- A scope you can filter and group by in Cost Analysis
- A scope you can set a budget on
- A scope for role assignments, Azure Policy, and locks
- A valid source or target for Cost Management allocation rules
- A perfectly good internal showback boundary

A resource group is NOT

- A separate invoice

- A separate payer or contract
- A billing account of any kind
- A guarantee that costs are attributable — some charges carry no resource group at all, including purchases and tenant-level items
- A data residency control. Its location stores Resource Manager metadata, nothing more.

Everything still rolls up to the subscription and its billing agreement. Resource groups organise the reporting; tags and allocation rules do the actual attribution work.

The hierarchy, stated correctly

```
BILLING (who is invoiced)          GOVERNANCE (who controls what)
Billing account                    Management group
  └─ Billing profile                 └─ Subscription
       └─ Invoice section                 └─ Resource group
            └─ Subscription                    └─ Resource
```

Those are two different trees that meet at the subscription. Management groups are a governance and policy-inheritance construct, **not** billing nodes. The billing tree above is specifically the Microsoft Customer Agreement model; Enterprise Agreement uses enrollment, department, and account concepts, and CSP differs again.

– How Copilot consumption actually shows up in Azure Cost Management

Microsoft 365 Copilot Chat pay-as-you-go: the meter is identified as *Copilot Studio*. You can filter accumulated cost using the supplied `m365copilotchat` tag. Data can take up to 24 hours to appear. Microsoft does not guarantee that arbitrary custom or resource-group tags automatically apply to this direct billing-policy usage.

Copilot Studio via Power Platform: creates a Power Platform account resource in the chosen subscription and resource group. That resource can be tagged like any Azure resource.

Foundry and Azure OpenAI: often classified under the broader Cognitive Services service name. Filter on service tier *Azure OpenAI* rather than assuming a service name. Project-level cost attribution preview applies a `project` usage tag for Azure-sold models; Marketplace-served models are excluded.

Tag behaviour to know: resource group tags do *not* automatically appear on child resources. Azure Policy can require, append, or inherit tags with remediation. Cost Management tag inheritance is a separate feature that applies subscription and resource-group tags to *usage records*, not to the resources themselves, and generally lands within 8 to 24 hours.

SECTION 07

Three ways to pay

Pay as you consume, prepay a monthly pack, or commit annually for a discount.

1. Pay-as-you-go

$0.01 per credit

Billed in arrears to your Azure subscription. No commitment, no ceiling. Best for pilots, variable load, and as an overflow safety net behind prepaid capacity.

Watch out: there is no hard cap. Budgets alert only.

2. Prepaid capacity pack

$200 per pack / month

25,000 Copilot Credits per month, per pack. Catalog product `CFQ7TTC0LH1F`, SKU `000P`, listed as Microsoft Copilot Studio. Gives you a predictable monthly quantity.

Effective rate is $0.008 per credit *only if you consume all 25,000*. Unused capacity does not roll over.

3. Annual pre-purchase

Tiered discount

The **Copilot Credit Pre-Purchase Plan (P3)** uses annual Copilot Credit Commit Units. The broader **Microsoft Agent Pre-Purchase Plan** uses Agent Commit Units and can pay for eligible Copilot Studio, Foundry, Fabric, and GitHub consumption.

This is not a spending cap. P3 layers on top of pay-as-you-go: once prepaid credits are consumed, usage continues and bills as pay-as-you-go. It also defaults to annual renewal.

More volume, more discount. Get current tiers from your account team.

TWO COMMERCIAL DETAILS THAT GET MISQUOTED

Commit units are dollars, not credits. A Copilot Credit Commit Unit is a dollar-value commitment unit. $100 of eligible retail credit consumption consumes 100 CCCUs. It is not a quantity of credits.

MACC is not a credit wallet. A Microsoft Azure Consumption Commitment is a spending commitment. Eligible Copilot consumption can count toward MACC when the billing policy uses an Azure subscription associated with the billing account holding that MACC. But Microsoft does not publicly enumerate every Copilot Studio acquisition route as MACC-eligible, and pre-purchase plan upfront purchases are explicitly *not* deducted from Azure Prepayment. Confirm with your account team before you plan against it.

What happens when prepaid capacity runs out

"Everyone immediately gets an error" is not accurate. Behaviour differs by scenario.

SCENARIO	WITH PAY-AS-YOU-GO CONFIGURED	WITHOUT IT
Copilot Chat funded by a standalone credit policy on capacity packs	Automatic switch to pay-as-you-go	Covered users lose Copilot Chat access until monthly replenishment or added capacity
SharePoint agents	Bills to the pay-as-you-go policy	Standalone credit policies are currently documented for Copilot Chat only, so SharePoint agents should stay on pay-as-you-go
Copilot Studio custom agents	Overage bills to the linked plan	Enforcement starts at **125%** of tenant prepaid capacity. The current conversation finishes; later invocations are rejected and the agent is disabled until capacity resets
Agent flows	Overage bills to the linked plan	New runs blocked at **100%**. The parent agent keeps working for non-flow interactions

Combining prepaid capacity for your predictable base load with pay-as-you-go as an overflow is the common pattern, and it is what most organizations should do. Choosing *not* to configure overflow is a legitimate containment strategy, but be precise about what it actually does, because it is not one clean ceiling. Copilot Chat users funded by a credit policy lose access at exhaustion. Agent flows stop at 100%. Custom agents keep running until 125% before enforcement begins. Tell the business the failure mode is users getting blocked mid-month, and that "prepaid only" is not the same as "we cannot possibly spend more."

DATED ACTION ITEM: AI BUILDER CREDITS ARE BEING RETIRED

If someone in your organisation has mentioned a pool of credits that is "being significantly reduced," check whether they mean **AI Builder credits**, which are a completely different currency from Copilot Credits.

- **November 1, 2025** — new customers can no longer purchase AI Builder capacity add-ons. Existing add-on customers may renew or true up under applicable terms.
- **November 1, 2026** — seeded AI Builder credits included in qualifying Power Platform and Dynamics licenses are removed, and AI Builder capacity add-ons reach end of life for new purchase and renewal.
- **Active add-on contracts survive that date.** An add-on you already hold stays usable until its contract expires; you just cannot renew it or buy more. Microsoft documents contractual exceptions here too.

Microsoft documents **no automatic conversion** from AI Builder credits to Copilot Credits, though it does document dual-mode consumption in which AI Builder credits are drawn first and Copilot Studio credits are used after. Seeded AI Builder capacity aggregates across licenses, so a mid-sized tenant can easily be holding tens of thousands of credits it is about to lose. Pull your Power Platform capacity screen and confirm which currency you hold, and whether it is seeded entitlement or an active add-on contract, before you build a budget on it.

SECTION 08

What actually stops spend

Most of the things people call "limits" are alerts. Here is the honest breakdown.

CONTROL	WHERE	DOES IT STOP SPEND?
Azure budget	Azure Cost Management, at subscription or resource group scope	Alert only Notifies. Never stops resources or consumption. Evaluated daily against data delayed 8–24 hours.
Microsoft 365 billing policy budget	Microsoft 365 admin center	Alert only Set a dollar budget plus thresholds anywhere from 1–99%. Reaching it does not stop billing or service.
Cost anomaly detection	Azure Cost Management	Alert only Daily evaluation, email alert. Not real-time.
Per-agent monthly credit limit	Power Platform admin center	Hard stop Turns the agent off at its limit, with nearing-limit alerts first.
Cowork spending limits	M365 admin center > Copilot > Cost Management	Hard stop Enforceable policy and per-user credit limits that can remove access for the rest of the month.
Not configuring pay-as-you-go overflow	By design	Hard stop Prepaid-only means you cannot exceed prepaid. See section 07 for the exact cut-off behaviour.
Disconnecting the billing policy	Microsoft 365 admin center	Hard stop Removes metered agent access, with propagation delay up to about two hours.
Foundry spend	Azure	Alert only No native hard cap. Stopping spend needs custom action-group automation.

THE PRACTICAL TAKEAWAY

If a leader asks "what stops us from running up a huge bill," the honest answer is: **prepaid capacity with no overflow, per-agent limits in Power Platform, and Cowork spending limits.** Everything else tells you after the fact. Design your guardrails around the three things that actually enforce, and use budgets and anomaly alerts as your early-warning layer rather than your control layer.

SECTION 09

Reporting and chargeback

What you can see, where, and the one report that does not exist.

WHAT YOU WANT TO KNOW	WHERE TO LOOK	WHAT YOU GET
Credit consumption by user and agent	M365 admin center > `Reports > Usage > Microsoft 365 Copilot > Credits`	Credits by user, agent, billing policy, and user-agent pair. Mostly unlicensed metered Copilot Chat use. **This is the report that shows credits rather than just prompt counts.**
Actual billed dollars	M365 admin center > `Billing > Cost Management`, and Azure Cost Management	Actual cost at service-family level. Filter Azure on the `m365copilotchat` tag.
Agent adoption	M365 admin center > `Reports > Usage > Microsoft 365 Copilot > Agents`	Adoption, responses, users, agent-user pairs. Currently preview documentation.
Copilot Studio capacity and consumption	Power Platform admin center > `Licensing > Copilot Studio`	Prepaid vs pay-as-you-go, environment-level daily and monthly usage, billed vs non-billable credits, agent-flow detail.

WHAT YOU WANT TO KNOW	WHERE TO LOOK	WHAT YOU GET
One agent's credit trend	Copilot Studio > the agent > `Analytics`	Billed credits, trend, cost distribution, monthly limit view.
Cowork usage	M365 admin center Cowork Usage report, and Cost Management	Adoption, tasks, retention, user detail, CSV export. Consumption by user, group, service, agent.
Executive adoption and value narrative	Microsoft Copilot Dashboard (Viva Insights)	Readiness, adoption, impact. Agent Dashboard is public preview and needs at least 50 Copilot or Viva Insights licenses.

CORRECTION: THE COPILOT DASHBOARD IS NOT A POWER BI REPORT

The Microsoft Copilot Dashboard is a **Viva Insights web app experience**. Microsoft does not document it as a customer-owned Power BI artifact, so do not plan to open it, edit it, or embed it as a Power BI report.

If your goal is genuinely "put this in Power BI so leaders can self-serve," you have four real options, each with limits:

- **Copilot Studio agents Power BI template.** Works for qualifying Copilot Studio agents. Excludes declarative agents, Agent Builder agents, SharePoint agents, and third-party agents. Its "agent assisted impact (cost)" figure is estimated business value, *not* consumption billing — do not present it as spend.
- **Viva Insights query results plus the Power BI connector.** Connect approved query output to Power BI.
- **Copilot Dashboard export.** Public preview, de-identified, not customisable.
- **Microsoft Graph Copilot usage reporting APIs.** Production `v1.0` endpoints with `Reports.Read.All`. Returns *only* users holding a Microsoft 365 Copilot license, and exposes activity and prompt fields, not credits or dollars.

THE REPORT THAT DOES NOT EXIST

There is no native Microsoft report that attributes **billed Copilot Credits in actual invoice dollars to each individual end user**. Native financial showback is strongest by Azure subscription, resource group, tag, Power Platform environment, agent, and feature. If your chargeback model requires per-person dollar attribution, you will be building that yourself by combining the Credits report with your own cost allocation logic. Plan for it rather than discovering it late.

Also worth knowing if someone suggests it: the Power Platform **CoE Starter Kit is no longer actively maintained**. Microsoft now directs customers to the admin center inventory, usage, monitor, and actions experiences instead.

– Delegating dashboard access to managers and leaders

Copilot Dashboard access can be delegated within the tenant to up to 75 people. Managers can receive group-level Copilot Dashboard access and can delegate their own access.

The Agent Dashboard is more restrictive: managers **cannot** independently access or delegate a team-level view, and delegating it requires *Your company* scope.

FastTrack can provide remote guidance for Copilot and Cowork configuration, consumption controls, agent governance, reporting, dashboard access, and Power BI templates. FastTrack does **not** do project implementation, consumption-license setup, custom reports or queries, or KPI and ROI interpretation.

SECTION 10

Structuring Azure so cost lands in the right place

Aligning subscriptions and resource groups to business units, without over-engineering it.

Subscription or resource group?

The Cloud Adoption Framework treats subscriptions as boundaries for scale, quota, cost, governance, security, and identity. Create a new subscription when you genuinely need one of those. Otherwise use a resource group and tags, which carry far less overhead.

WHAT YOU NEED	RIGHT CONSTRUCT
A separate invoice or payment structure	Billing profile or invoice section, **not** a resource group
Separate quota, scale, security, policy, or isolation	Subscription
Dev, test, and production with materially different controls	Usually separate subscriptions
Resources deployed and retired together	Resource group
Business unit or cost center reporting across shared resources	Tags, allocation rules, budgets
Common policy across many subscriptions	Management group
Tracking one workload's cost	Resource group plus tags

A BUSINESS UNIT DOES NOT AUTOMATICALLY NEED ITS OWN SUBSCRIPTION

This is the most common over-build. Use subscription-per-business-unit only where that business unit also needs a real management, policy, quota, isolation, or ownership boundary. Otherwise tags and resource-group reporting get you there with far less administrative drag. The Cloud Adoption Framework explicitly warns against a rigid one-size-fits-all subscription model, and recommends keeping management group hierarchies **flat** and policy-driven rather than mirroring your org chart.

The layered model that works

1. **Billing profile and invoice section** aligned to how finance needs to be invoiced.
2. **Management groups** for common policy and compliance archetypes. Keep it flat.
3. **Subscriptions** where ownership genuinely requires isolation or separate scale and governance.
4. **Resource groups** for lifecycle-aligned components, and as your metered-AI landing zones.
5. **Tags** for cost center, department, business unit, owner, environment, workload, purpose.
6. **Cost Management allocation rules** for shared costs that cannot be directly attributed.

The Cloud Adoption Framework's own tag examples include accounting tags such as `costcenter`, `department`, `program`, and `budget`; ownership tags such as `businessunit` and `opsteam`; and functional tags for application, environment, and region.

DO NOT PUT SENSITIVE VALUES IN TAGS

No PHI, no credentials, no personal data in tag values. In a healthcare setting this matters — tags are broadly readable and appear in cost exports.

A workable pattern for metered AI spend

The following is general industry practice rather than a prescribed Microsoft standard. Microsoft does not mandate a dedicated AI resource group, fixed alert percentages, or a specific pilot topology. Adapt it.

→ Create a dedicated resource group per business unit for metered AI, for example `rg-ai-<businessunit>-<env>-metering`, following CAF naming conventions.

→ Keep pilot and production billing policies separate where owners, approval paths, or risk tolerance differ.

→ Require tags: `costcenter`, `businessunit`, `app`, `environment`, `owner`, `serviceowner`, `chargebackmodel`. Enforce with Azure Policy, and remediate existing resources.

→ Stage alerts, for example at 50, 75, 90, and 100 percent, but set the actual thresholds from observed usage rather than copying a template.

→ Name the humans: business or service owner, finance or FinOps owner, Power Platform and Microsoft 365 administrator, Azure platform owner, and a compliance reviewer.

→ Establish a cost baseline with a representative test workload *before* broad rollout, compare actuals against your estimate, and only then set the real budget.

→ Review weekly as a habit; review daily for the first week or two after any new agent launch or model change.

Start with showback, not chargeback

Microsoft's FinOps guidance recommends showback first, then cost allocation, then chargeback. Report consumption and allocated cost to accountable teams and let them react before you start moving money between budgets. Azure supports the reporting input; the actual internal chargeback happens in your finance systems, not in Azure. Microsoft also publishes an open-source **FinOps toolkit** with hubs, Power BI reports, and workbooks that is worth adopting rather than rebuilding.

HEALTHCARE AND REGULATED-INDUSTRY NOTE

Selecting an Azure subscription and resource group as a billing target does **not** by itself establish HIPAA compliance, a BAA, or data residency for the AI workload. Those are governed separately by your Product Terms and DPA, tenant geography, and the specific service configuration.

Microsoft's HIPAA page lists Microsoft 365 Copilot and Microsoft 365 Copilot Chat in the in-scope Office 365 table for Commercial and GCC. On web search, be precise about what Microsoft actually says: the **generated web search query sent to Bing** is not covered by the DPA, and Microsoft states HIPAA compliance does not apply to those generated queries. That is narrower than "web search is outside your BAA," and it is distinct from the user's prompt and Copilot's response, which stay within the Microsoft 365 service boundary and are treated differently. Do not paraphrase this one; take it to privacy and legal with the source in hand. A direct Microsoft Learn statement listing Copilot Studio by name as HIPAA in-scope was not located during this research, so validate current Product Terms and Service Trust documentation before processing PHI through it.

A practical PHI decision path, which your privacy team still has to sign off: confirm which surfaces are BAA-covered for your agreement before any PHI touches them; turn off web grounding on any agent that will see PHI, since the generated Bing query is the specific gap; confirm BAA coverage and data geography before putting PHI through Copilot Studio; and keep PHI agents in environments whose billing, residency, and governance you control deliberately.

And do not treat an Azure budget as a privacy or clinical safety control. It is an alerting mechanism.

SECTION 11

Estimate before you build

Use Microsoft's estimator for the real number. Use the calculator below for a fast sanity check in a meeting.

Microsoft agent usage estimator

The official tool. Takes employee-facing vs customer-facing scenario, user counts, interactions per user per month, how many of those users are licensed, the percentage of responses using knowledge and tenant Graph grounding, configured tools and how often they are invoked, agent flow counts, and basic/standard/premium prompt mix. Outputs monthly credits and cost, per-agent and aggregate, with a downloadable PDF.

microsoft.github.io/copilot-studio-estimator

Cowork estimator

A separate official workbook for Cowork planning, linked from Microsoft's Cost Management documentation. Treat it, like the agent estimator, as a planning aid and not a quote.

aka.ms/CustomerCoworkEstimator

WHAT THE ESTIMATOR DOES NOT COVER

It is informational only — not a quote, not a contract, not a guaranteed forecast, and not a substitute for the official pricing calculators. Microsoft recommends adding a **10 to 20 percent buffer**. Model Foundry, Azure hosting, and third-party tool costs separately; they are not Copilot Credits and the estimator does not carry them. Microsoft does not publish an exhaustive exclusions list, so treat the output as a floor rather than a ceiling.

Order-of-magnitude illustrator

Not a forecast · use Microsoft's estimator for real numbers

WHAT THIS IS AND IS NOT

This models **one narrow slice**: employee-facing, interactive interactions by users *without* a Microsoft 365 Copilot license, where the agent uses tenant Graph grounding with semantic search. It exists to show you the *shape* of the cost and how sensitive it is to licensing, not to produce a budget.

It deliberately excludes content processing, AI tools, voice, computer use, autonomous runs, agent flows, external services, and anything on Foundry. On a document-heavy or voice-heavy agent, those excluded items can dominate. **Treat any number here as a floor, and do not put it in a budget.** Use the official estimator for anything real.

This calculator is interactive in the web version. The figures printed below reflect one set of example inputs and are not a forecast, a quote, or a budget figure for your organization. Open the live guide to enter your own numbers, and use Microsoft's official estimator for anything real.

MODELLED INTERACTIONS

2,200

Unlicensed users only

CREDITS / MONTH

30,360

Buffer applied · excluded items not counted

ILLUSTRATIVE ONLY

~$304/mo

At the $0.01 planning rate. Not a quote, not a budget line.

Two different ways to pay for this, do not add them together. Pay-as-you-go would bill roughly $304 per month at the $0.01 planning rate. Prepaid instead would take **2 capacity packs** at $200 each per month ($400), which buys 50,000 credits whether or not you use them. These are alternatives, not a combined total. Prepaid is cheaper per credit only if you actually consume the capacity.

Model: each modelled interaction is charged one generative answer (2 credits), plus tenant Graph grounding with semantic search (10 credits) on the grounded share, plus agent actions at 5 credits each. Licensed users are excluded from the count because ordinary interactive employee-facing use is zero-rated for them, which is not the same as saying licensed users can never generate cost. See the exclusions above.

THE LEVER MOST PEOPLE MISS

Look at what happens to that number when you move users from the unlicensed column to the licensed one. For a heavy agent user, buying the Microsoft 365 Copilot add-on can genuinely cost less than paying their metered consumption, and they get the rest of Copilot as well. Nominating your heaviest users for licenses is a legitimate cost-control move, not just an upsell.

To actually run that comparison you need your own add-on price. This guide deliberately does not print it, because the Microsoft 365 Copilot per-user price varies by agreement, geography, and term, and a stale figure here would be worse than none. Get your effective per-user-per-month price from your agreement or your Microsoft account team, then compare it against the monthly credit consumption of your heaviest users from the Credits report. The break-even is usually lower than people expect.

SECTION 12

Your rollout checklist

In order. Each step assumes the one above it is done.

Owner tags: **[M365]** Microsoft 365 admin · **[AZ]** Azure subscription owner · **[PP]** Power Platform admin · **[FIN]** finance or FinOps · **[BIZ]** business or service owner

1. Before anyone builds anything

→ **[BIZ] [PP]** Decide your Copilot Studio **environment strategy first**. Environments are your Copilot Studio reporting dimension, so they determine your resource group layout. Doing this after you build resource groups means redoing one of them.

→ **[AZ]** Decide which Azure subscription is the billing target, and confirm it is in the **same tenant** as Microsoft 365.

→ **[AZ]** Create the resource groups that map to the cost centers you want to report on, now that the environment design tells you what those are.

→ **[M365] [FIN]** If you want per-department cost splitting for Copilot Chat, design the security groups now and make sure they are **disjoint**. One group per policy, no user in two groups. Overlap quietly distorts attribution.

- → **[M365]** Get the Azure destination right the first time. The subscription and resource group on a billing policy **cannot be edited** after creation; changing them means deleting and recreating the policy.
- → **[M365] [AZ]** Confirm roles. You need Billing, AI, or Global Administrator on the Microsoft 365 side *and* Owner or Contributor on both the subscription and resource group. These are often two different teams, so get both in the room rather than discovering the gap mid-setup.
- → **[AZ] [FIN]** Agree your tagging standard and enforce it with Azure Policy *before* spend starts. Retrofitting tags is miserable.
- → **[FIN] [PP]** Check which credit currency you actually hold today. If it is seeded AI Builder capacity, note the November 1, 2026 removal date and whether you hold an active add-on contract.

2. Turning it on

- → **[M365]** Microsoft 365 Copilot Chat and Agent Builder: go to `Copilot > Billing & usage > Billing policies > Add a billing policy`, select the Azure subscription and resource group, and scope to *All users* or a *Specific group*. Start with a pilot group, not All users.
- → **[M365]** Then **connect the policy** under *Pay-as-you-go services* to Copilot Chat or SharePoint agents. This is a separate step and it is the one people miss. An unconnected policy does nothing.
- → **[M365]** If you are going to use group-scoped policies, **disconnect any existing All-users policy first**. This is the step that makes people think only one policy per service is allowed. Then connect your group-scoped policies one at a time.
- → **[PP]** Copilot Studio: create the pay-as-you-go billing plan in the Power Platform admin center, link the Azure subscription and resource group, and **attach the environments** that should bill to it. This step does not exist in the Microsoft 365 admin center and is easy to skip.
- → **[M365]** Cowork, if in scope: confirm users hold Microsoft 365 Copilot licenses, then enable usage-based billing and create a spending policy under `Copilot > Cost Management`, scoped to the tenant or an Entra group.
- → **[PP]** Set the controls that genuinely enforce: per-agent monthly credit limits in the Power Platform admin center, and Cowork spending limits.

- → **[AZ] [FIN]** Add budget alerts at staged thresholds as your early-warning layer, understanding they will not stop anything.
- → **[BIZ] [FIN]** Decide overflow policy explicitly: prepaid only to contain exposure, or prepaid plus pay-as-you-go for continuity. Make the business choose, and tell them the failure mode either way.

3. Verify it actually worked

Do not skip this. A policy that looks configured but is not connected fails silently, and you will find out from a user, not from the portal.

- → **[M365]** Run Microsoft's documented test: have an eligible user *without* an add-on license open the **Learning Coach**, **Writing Coach**, or **Career Coach** agent and send a simple prompt such as "What can you do?" That consumes about 12 credits. If they get an error or refusal instead, coverage is not in place.
- → **[M365]** Wait for propagation. Enablement and disablement can take up to about two hours.
- → **[M365]** Confirm consumption appears in `Reports > Usage > Microsoft 365 Copilot > Credits`. This is the report that shows credits rather than prompt counts, and it breaks down by user, agent, billing policy, and user-agent pair.
- → **[FIN]** If you built per-department policies, confirm each department's usage landed against the *right policy and the right resource group*. Microsoft never publishes an explicit routing guarantee, so verify it with real usage before telling finance the model works.
- → **[AZ] [FIN]** Confirm the cost landed in the resource group you expected. Cost data can lag up to 24 hours. Filter Azure Cost Management on the `m365copilotchat` tag, and for Copilot Studio look for the Power Platform account resource in your chosen resource group.
- → **[PP]** For Copilot Studio, confirm the environment shows against the right billing plan in `Licensing > Copilot Studio`.
- → **[BIZ]** Do not expand past the pilot group until baseline actuals validate your estimate.

4. Once it is running

- → **[M365]** Stand up the Copilot Dashboard if you have not, and delegate access to the leaders who keep asking for numbers. FastTrack can help with configuration, though not with custom reports or ROI interpretation.

- **[FIN]** Baseline a real workload, compare it to your estimate, and correct your budget from actuals rather than from the estimate.
- **[FIN] [BIZ]** Review weekly as a standing habit, daily for a week or two after any new agent goes live or any model change.
- **[FIN]** Watch for heavy users and run the license-versus-consumption comparison on them periodically.
- **[FIN]** Start with showback. Give teams their numbers and a quarter to respond before you move to real chargeback.

SECTION 13

Ten costly misconceptions

These are the ones that show up repeatedly in real conversations, including some that sound right.

THE BELIEF	WHAT IS ACTUALLY TRUE
"We should buy Copilot Premium licenses."	No such product. The paid SKU is the **Microsoft 365 Copilot** add-on. "Premium" and "Basic" are in-app labels.
"A paid seat means agents are completely free."	True for ordinary interactive employee-facing use only. Autonomous runs, non-agent-triggered flows, computer use, bring-your-own models, external hosting, customer-facing scenarios, and Cowork all still bill.
"If I build the agent, I get the bill."	Building costs nothing. Consumption lands wherever the applicable funding path points. The user's license is one factor among several, alongside what the agent reaches into, how it was triggered, and who it serves.

THE BELIEF	WHAT IS ACTUALLY TRUE
"You can only have one billing policy per service."	Not the documented model. Multiple group-scoped policies are supported, and Microsoft names departmental allocation as a purpose. What usually blocks a second policy is an **All-users policy that must be disconnected first**. "Connect one at a time" describes the operation, not a limit.
"We can chargeback Copilot Studio by security group."	Power Platform billing plans scope to **environments**. Only the Microsoft 365 policy scopes to users and groups. And an environment is a showback dimension, not an invoice boundary.
"Pay-as-you-go is the only way to enable metered agents."	A prepaid capacity pack plus a credit policy can enable metered Copilot Chat access with no Azure pay-as-you-go at all.
"Buying credits will unlock agents over Teams and email data."	Email, People, Teams messages, and Teams meetings knowledge is **license-only**. Pay-as-you-go is not documented as sufficient.
"Our Azure budget will stop the spend."	Azure budgets and Microsoft 365 policy budgets **alert only**. Per-agent limits and Cowork limits enforce. Prepaid without overflow contains exposure but is not one clean ceiling, and P3 does not cap at all.
"A resource group is our cost center."	It is a reporting and allocation scope, not an invoice or payer boundary. Tags and allocation rules do the real work, and some charges carry no resource group at all.
"The Copilot Dashboard is a Power BI report we can customise."	It is a Viva Insights web app. Getting to Power BI needs the Copilot Studio template, the Viva Insights connector, the preview export, or Graph APIs — each with real limits.

THE BELIEF	WHAT IS ACTUALLY TRUE
"An unlicensed user always costs us money."	No. An agent using only instructions or public web is free for everyone. Metering starts when it reaches into organizational data.
"Giving the agent an Entra Agent ID is how we bill it."	Agent identity is a governance and observability construct. Microsoft documents it separately from consumption billing, and it does not attribute spend to an owner or business unit.
"Credits and tokens are the same thing."	Credits are the billing unit. Tokens still underpin AI tool and Foundry model charges. And "messages" has not fully disappeared from Microsoft's own meter pages.

SECTION 14

Sources

Selected background sources. These are the primary references behind this guide, not an exhaustive citation for every sentence. Several claims here rest on release notes and product pages that change frequently, so verify anything you are about to spend money on.

Rates, licensing, and credits

- Copilot Studio credit rate card
- Copilot Studio billing and licensing
- Microsoft 365 Copilot pay-as-you-go meters
- Copilot capacity packs
- Copilot Credit Pre-Purchase Plan (P3)
- Microsoft Agent Pre-Purchase Plan
- Microsoft 365 Copilot licensing
- End of AI Builder credits

Setup and administration

- Set up Microsoft 365 Copilot pay-as-you-go
- Pay-as-you-go overview and policy connection rules
- SharePoint agents pay-as-you-go billing policies
- Billing policy setup in the M365 admin center
- Power Platform pay-as-you-go setup
- Power Platform pay-as-you-go overview
- Copilot Studio capacity management and limits
- Managing Copilot Credits and Cost Management
- Declarative agent knowledge sources
- Agent extensibility cost considerations

Cowork, Foundry, and agent identity

- Cowork prerequisites
- Cowork admin and governance
- Usage-based billing overview
- Microsoft Foundry cost management
- What is Microsoft Foundry
- Microsoft Entra Agent ID
- Microsoft Agent 365 overview
- Copilot Studio computer use

Azure cost management and reporting

- CAF subscription design
- CAF tagging strategy

- Cost allocation rules
- Azure budgets
- Cost Management tag inheritance
- Microsoft FinOps Framework guidance
- Microsoft 365 Copilot Credits report
- Microsoft Copilot Dashboard

Copilot Agent Billing: Credits, Cost Attribution, and Who Actually Pays. Version 1.2, compiled July 31, 2026. Written to be shared internally and reused across organizations.

Next review due by October 31, 2026. This document contains rates, product names, and admin paths that change often, and it carries at least one dated item (the November 1, 2026 AI Builder credit removal). If you are reading it well past the review date, verify before relying on it.

Prepared by Michael Goad. Part of the Copilot Playground.